📋 Document 4: S4 — Liquidity Sweep & Stop Hunt Detection (Max Score: 11)

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1) Overview

- **Code:** S4
- **Tier:** 2 (Core Rule)
- **Role:** Detect **liquidity pools**, confirm **sweep/stop-hunt**, and grade **reversal quality** and **aggressiveness.**
- **Max Score:** 11
- **Status:** ✅ Approved
- **Precedence:** Runs **after S2** zone identification (because sweeps are most meaningful **at/near HTF OB zones**) and **before S5** (structure confirmation).
- **Special Behavior: Semi-gate**
  - If liquidity is identified but **not swept**, you often **wait**, because the move may be **incomplete.**

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2) Why S4 Matters (Practical Logic)

Institutions often need liquidity to enter/exit large positions. Retail stops provide that liquidity.

Your core premise:

- Price is drawn to liquidity.
- **Sweep** = price grabs stops (liquidity), then reverses.
- **Deeper sweep → faster reversal** (approved rule):
  - deeper stop-run fills big orders quickly
  - reversal tends to be sharper
  - allows tighter SL and better RR

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3) S4 Scoring Structure (Total = 11)

S4 has 4 **components**:

- **A) Liquidity Identification** (Max 3)
- **B) Sweep Status (Confirmation)** (Max 4)
- **C) Sweep Depth (Stop Hunt Strength)** (Max 3)
- **D) Inducement Check** (Max 1)

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- D) Inducement Check (Max 1)

A) Component A — Liquidity Identification (Max: 3)

This identifies *where stops are likely sitting.*

A1) Clear Liquidity Pool Type (Max: 2)

Score:

- **2** = Clean, obvious liquidity pool:
  - Equal highs / equal lows (range)
  - Swing high/low with multiple touches
  - Trendline liquidity / obvious retail levels
- **1** = Moderate clarity (exists but not clean)
- **0** = No obvious liquidity

✅ **Logic:** If liquidity is not clearly visible, a "sweep story" is weak.

A2) Proximity to HTF Zone (S2) (Max: 1)

Score:

- **1** = Liquidity sits **at/near** S2 OB/Demand-Supply zone
- **0** = Liquidity is away from zones (lower quality)

✅ **Logic:** Sweeps at HTF zones are far more reliable than random sweeps in the middle.

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B) Component B — Sweep Status (Confirmation) (Max: 4)

This confirms whether liquidity was actually taken.

B1) Liquidity Taken (Wick Through Level) (Max: 2)

Score:

- **2** = Clear sweep: wick breaks prior high/low and returns
- **1** = Partial sweep / marginal breach
- **0** = No sweep

✅ **Logic:** A wick through liquidity is the clearest stop-hunt signature.

B2) Reclaim / Close Back Inside (Max: 2)

Score:

- **2** = Strong reclaim: candle closes back inside the range/zone with conviction
- **1** = Weak reclaim (close near boundary)
- **0** = No reclaim (price accepts beyond level)

✅ **Logic:**

- Sweep + reclaim = stop-hunt + trap
- Break without reclaim = possible breakout/continuation (not reversal setup)

C) Component C — Sweep Depth (Stop Hunt Strength) (Max: 3)

This is where your approved rule applies:

> ✅ **Longer/deeper sweep → faster reversal**

C1) Depth Beyond Liquidity (Max: 2)

Score:

- **2** = Deep sweep (clear distance beyond liquidity; obvious stop purge)
- **1** = Shallow sweep (barely takes the stops)
- **0** = Micro sweep/noise

✅ **Logic:** Deep sweeps tend to "finish the job" (liquidity collection) and reverse harder.

C2) Speed of Return (Max: 1)

Score:

- **1** = Quick snap back (same candle or next candle)
- **0** = Slow drift back / multiple candles.

✅ **Logic:** Faster return implies strong opposing orders (institutional absorption/defense).

D) Component D — Inducement Check (Max: 1)

Inducement = market tempts retail into the wrong side before the sweep.

D1) Inducement Present (Max: 1)

Score:

- **1** = Price shows a "fake move" that invites entries before sweeping
  - e.g., small breakout attempt, trend continuation bait, mini rally before sweeping lows
- **0** = No inducement pattern seen

✅ **Logic:** Inducement increases the probability that the sweep was engineered, not random.

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4) S4 Total Score Summary

```
A) Liquidity Identification        max 3
B) Sweep Status (confirmation)     max 4
C) Sweep Depth                     max 3
D) Inducement Check                max 1
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TOTAL S4 SCORE                     max 11
```

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5) Interpretation Tiers (Trade Aggressiveness)

These tiers tell you how aggressively you can treat the reversal (not position sizing—just conviction).

- **9–11: "Clean Stop Hunt" (High Aggression)**
  - Deep sweep + fast reclaim = best reversal entries
- **6–8: "Probable Sweep" (Moderate Aggression)**
  - Good sweep but missing one element (depth/speed/inducement)
- **3–5: "Weak Sweep" (Low Aggression)**
  - Some sweep-like behavior but not clean
- **0–2: "No Sweep / Noise"**
  - Avoid reversal thesis; wait or treat as continuation

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6) Semi-Gate Logic (Critical Precedence Rule)

Case 1: Liquidity Exists but NOT Swept

- **S4 becomes a WAIT condition**
- You do **not** force entries because price often goes for liquidity first.

✅ Typical behavior:

- If S2 zone is strong but liquidity remains unswept → price may still "dip/wick" to take it.

Case 2: Liquidity Swept + Reclaimed

- Now reversal thesis becomes valid
- S5 (BOS/CHoCH) is expected next for confirmation

7) Interactions With Other Modules

S2 (OB Zones)

- S4 becomes **high-quality** when the sweep occurs at/near S2 zones.

S5 (BOS/CHoCH)

- Best institutional model:
  - **Sweep (S4) → CHoCH/BOS (S5) → Entry refinement (S3)**

S6 (Volume/Delivery Institutional Fingerprint)

- A sweep reversal with **rising volume/delivery** increases conviction that the reversal is "real".

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8) Practical "Institutional Entry Model" (Your Framework Sequence)

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1) Identify HTF OB zone (S2)
2) Identify liquidity pool (S4-A)
3) Confirm sweep + reclaim (S4-B)
4) Measure depth + speed (S4-C)
5) Check inducement (S4-D)
6) Confirm structure shift (S5)
7) Use FVG for precision entry (S3)
8) Validate with volume/delivery fingerprint (S6)
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9) Common Mistakes S4 Prevents

- Entering at OB without liquidity completion
- Confusing breakout with sweep (no reclaim = not a sweep reversal)
- Treating micro-wicks as stop hunts
- Ignoring inducement (missing the "trap setup" context)